



March 14, 2025

VIA EMAIL [REDACTED]

Office of Science and Technology Policy

and NCO/NITRD

Att'n: Mr. Faisal D'Souza

2415 Eisenhower Avenue

Alexandria, VA 22314

Re: ***True Ventures' Response to AI Action Plan RFI***

Dear Mr. D'Souza:

True Ventures supports the Administration's creation of an AI Action Plan. The Plan's stated goals—to strengthen American leadership in AI, enhance national security, and perhaps most importantly, ensure that “unnecessarily burdensome requirements do not hamper private sector AI innovation”—align with True Ventures' interest in having a favorable regulatory environment for small, innovative AI startups in the United States.

True Ventures's Interest in AI Policy

True Ventures is a Silicon Valley-based venture capital firm, founded in 2005 and marking our 20th year in business. We invest in startup company founders at the earliest stages of their journeys: we seek to be the first institutional investor in early-stage tech companies that are managed by exceptional entrepreneurs, and that create products and services in potentially large, untapped, rapidly growing markets. We partner with these founders, often for a decade or more, providing the support—financial, informational, and psychological—to allow them to take big, risky swings to develop technology that could have a massive impact on the world.

Since our founding, we have made over \$3 billion of investments in nearly 500 companies—including in 70 or so artificial intelligence companies. As early-stage investors in AI, we witness firsthand how a thriving startup ecosystem drives American competitiveness.

We are writing because federal policy will play a critical role in whether these emerging AI startups—the innovative companies being built by the founders we support—can flourish. The

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stakes are high: Bad regulation could slam the brakes on AI innovation and put our country at a disadvantage against highly capable foreign adversaries, especially China.

As detailed below, the AI Action Plan should:

1. Understand America's proven and successful regulatory model for dealing with opportunities and risks of rapid technological change, and embrace it for AI;
2. Prevent fragmented, multi-state regulation of AI, which will cede the AI advantage to our global adversaries, and slam the door on tech startups;
3. Encourage the rapid domestic development of this most critical infrastructure through liability protection, as well as upping the physical and cyber defense of AI companies through public-private partnerships; and
4. Remove regulatory impediments to abundant, clean energy.

Governmental Restraint in the Face of Rapid AI Development

There is a premature rush to regulate AI across the country and the world. It is not hard to understand why: Although technologies underlying AI have been on the scene for a long time, the arrival of Open AI's ChatGPT, and subsequent powerful models created by other companies, have put in public view the prospect of truly advanced artificial intelligence—a computational intelligence with greater-than-human intellectual and reasoning capabilities, that can interact with the digital (and even the physical) world, and that can solve complex problems. People have mapped onto this technology both the potential for massive societal benefits, as well as the prospect for significant societal harm.

The U.S. has a proven, effective historical model for dealing with rapid technological change like this: the light-touch regulatory model that positioned the nation to dominate successive waves of industrial technologies, including semiconductors, personal computers, software, and the internet economy. It is not a recurring lucky streak that created the market-driven environment necessary for each of these waves to be born in America and to drive economic growth here and across the world. Instead, it was our uniquely American approach, which allowed the government to stay cognizant of technological risk and address it through legislation when it arose, while not

legislatively throttling important technological development or creating a compliance environment that startups could not satisfy.¹

Contrary to this recent experience, there is a significant push to preemptively regulate the creation and development of AI models and tools in the U.S. This is an ahistorical rejection of the tried-and-true U.S. model and, inexplicably, an importation of European-style command-and-control regulation.² Hundreds of AI-related bills have been introduced in statehouses across the country,³ and many of these bills are a masterclass on how *not* to regulate AI.

State legislators in California, Colorado, Texas, Virginia, New York, and elsewhere are proposing laws that would require AI developers and deployers⁴ to file “algorithmic impact assessments” and similar compliance documents with state agencies. Several also would add new, onerous liability regimes designed to hold developers financially responsible for downstream harms if their technology is found to have played a part. These rules, if passed, would be a gut punch to startups, which cannot afford a significant compliance budget or risk massive liability. They are also not likely to materially diminish risk of “algorithmic bias” or other harms the laws seek to prevent,⁵ though they are sure to significantly restrain American competitiveness, and delay (or deny) the benefits of AI tools to society. Our economy, and our fellow citizens, will suffer as a result.

True believes that all U.S. government entities—federal, state, local, and tribal—should adopt an attitude of regulatory humility and restraint in the face of this technological advancement, as we

¹ A relevant historical example of this dynamic—but by no means the only one—is the development of email protocols. The federal government supported and participated in public-private partnerships to create open standards and interoperability of email systems, including SMTP. The private sector used those protocols to develop robust commercial products. When technology-enabled harm emerged—spam email—Congress reacted and passed the CAN-SPAM Act (15 U.S.C. §§ 7701–7713) in 2003.

² Dean Ball, *The EU Act is Coming to America*, Hyperdimensional (available at <https://www.hyperdimensional.co/p/the-eu-ai-act-is-coming-to-america>). We describe this as “inexplicable” because, according to [this](#) and other studies, the EU AI Act “will cost the European economy €31 billion over the next five years and reduce AI investments by almost 20 percent.” See Benjamin Mueller, “How Much Will The AI Act Cost Europe?,” Center for Data Information (July 2021).

³ One useful AI bill tracker is available here: <https://www.multistate.ai/artificial-intelligence-ai-legislation>.

⁴ A “deployer” is the person or organization that puts an AI system into real-world use. While developers build the app or train the model, deployers are the ones who integrate it into products, services, or processes (for example, a company incorporating an AI tool into its HR system).

⁵ Dean Ball, *The EU Act is Coming to America*, Hyperdimensional (available at <https://www.hyperdimensional.co/p/the-eu-ai-act-is-coming-to-america>).

did in earlier phases of rapid change. This attitude is decidedly not a “no regulation” position. Its main components are:

1. *Regulating uses of AI tools, and not their creation.* Restricting training methods or imposing broad compliance burdens stifles innovation, particularly among startups, while doing little to prevent actual harm. History shows that the best regulatory frameworks, whether for computing, biotech, or the internet, focus on preventing misuse rather than constraining technological progress. For example, no laws dictated the development of general purpose microprocessors, but crimes and civil wrongs committed using computers are effectively prosecuted.
2. *Relying on existing laws and existing regulators to police known harms.* The U.S. already has robust legal frameworks that prohibit fraudulent and other harmful activities: consumer protection laws prohibit deceptive practices, anti-discrimination laws cover unlawful biases in employment, credit, and housing, and product liability principles govern defective products. When existing law covers the harm sought to be prevented, no new law is necessary—especially one that will hamper the development of the technology.⁶
3. *Identifying any new, uncovered risks, and only then legislating to prevent them.* Through experience and robust public-private interaction, we can identify those AI-specific risks that are both not covered by existing law and are serious enough to merit specific lawmaking.

We recommend that the AI Action Plan embrace these principles. If adopted within the Executive Branch, in Congress, and in statehouses across the country, they will allow the U.S. to manage any emergent risks of AI while promoting technological advancement—including providing regulatory clarity to startups so they may develop products that have the ability to make people's lives fundamentally better.

Prevent Fragmented, Multistate AI Regulation

Another lesson from the recent past: Congress's failure to pass a federal privacy law led to states taking the lead in that area—and as many are with AI regulation, they took their cues from the EU. Known as the “Brussels Effect,” many states adopted their own version of the EU's General

⁶ Some states have already embraced this view. For example, in Massachusetts, the Attorney General has provided guidance on how existing consumer protection law will be used in the context of AI (available at <https://www.mass.gov/doc/ago-ai-advisory-41624/download>).

Data Protection Regulation, or GDPR, but with their own twists on it. As a result, companies operating across many states have had to deal with different, sometimes inconsistent, frequently onerous legal obligations when a data breach happens. This has been especially costly and complex for startups to manage (not to mention for end users to understand).⁷

The AI Action Plan should take steps to prevent the “GDPR-ification” of AI law. A 50-state AI regulatory morass could push the U.S. into a dangerous trap: creating AI-related laws that only large, established companies can satisfy, putting markets out of reach for startups. Even one or two states requiring mandatory AI impact assessments for certain applications of AI, or expanding developer liability, would significantly raise compliance costs and litigation risks, effectively ushering smaller firms out of the market. This will lead to balkanization (*i.e.*, providers not allowing their AI tools to be used in certain overregulated states), and the citizens of those states not receiving the benefits of cutting-edge AI technology. But a *proliferation* of state laws across the union—a nationwide patchwork, each with different, likely inconsistent requirements—would make business incomprehensibly difficult for smaller AI startups. They would face having to navigate 50 different AI compliance regimes, and unlike state privacy laws which apply only in case of a breach, they would have to do this *just to start doing business*. As Representative Jay Obernolte, chairman of the House Task Force on Artificial Intelligence, put it:

If you allow 50 different state regulations to exist, what you have created is an enormous barrier to entry into innovation. If you're Google . . . they've got buildings full of lawyers; they can actually navigate a regulatory landscape that complex. The people who can't navigate it are two people in a garage trying to start the *next* Google.⁸

As the bipartisan House AI Task Force recommended, the Administration and Congress should work together on a single federal standard to prevent this multiplicity of state-based laws. Even as OSTP and Congress work on accomplishing that goal, the Administration can—through its bully pulpit—advocate for the principles of legislative humility outlined above to be adopted throughout the country.

AI as The Most Critical Infrastructure: Promote Its Development and Prevent Its Theft

Development of frontier AI models, and highly useful AI tools, have the potential to enhance human lives in significant ways. Some of these enhancements are foreseeable, and others will only emerge over time, but they include:

⁷ Engine, The Privacy Patchwork Problem, March 2023 (available [here](#)).

⁸ Rep. Jay Obernolte, remarks at the State of the Net Conference, Washington, D.C., February 2024 (quote [here](#)).

- deeper and more rapid scientific discovery and understanding;
- physical and mental health advancements that will save, prolong, and improve lives;
- increased economic productivity;
- more effective education and proliferation of ideas; and
- smarter defense capabilities.

Likewise, development of these tools in the U.S. is key to our national security and economic competitiveness. Given the enormous benefits that can accrue to society from it, artificial intelligence is perhaps the *most critical* infrastructure. But like other critical infrastructure in the U.S., nearly all AI development happens in the private sector, which—while it makes innovation many times more robust than it would be in the government's hands—leaves the technology harder to defend.

The release of Chinese AI tools such as DeepSeek R1 highlighted what we already understood: we are not the only country working at the cutting edge of AI technology, and our nearest competitor and most competent adversary plans to use AI dominance (and other means) to counter the U.S. and the West. Moreover, China has used illicit means to access U.S. AI advancements, including hacking,⁹ distillation of U.S. models,¹⁰ evasion of export controls,¹¹ and economic espionage,¹² trying to seek an advantage in this modern-day space race. Given all of this, we have two recommendations to promote and protect critical AI infrastructure in the U.S.

First, consider a “SAFETY Act for AI” to tamp down unpredictable liability. One impediment to AI development is the emerging state legislative trend to impose liability on model and app developers whose technology can be shown to have played a part in downstream harms. And as AI tools push further into mainstream usage, product liability and other litigation is also a foreseeable impediment to AI development. To counter this trend, we recommend that the Administration consider another legislative model from the recent past. After the 9/11 attacks, Congress determined that manufacturers of security technology that could be used to prevent terrorist attacks were inhibited from developing such technology by the prospect of outsized liability judgments against them, if their technology ended up not preventing harm. As a result,

⁹ <https://www.axios.com/2024/05/17/artificial-intelligence-experts-phishing-attack>

¹⁰ <https://www.csis.org/analysis/deepseek-huawei-export-controls-and-future-us-china-ai-race>

¹¹ *Ibid.*

¹² Representative federal indictment available [here](#).

Congress passed the SAFETY Act (Support Anti-Terrorism by Fostering Effective Technologies Act of 2002), which provides liability protections for companies that develop and deploy anti-terrorism technologies, ensuring that legal risks do not deter innovation in national security. The AI Action Plan could advocate that Congress adopt a comparable framework to shield AI developers from excessive tort liability, particularly for downstream misuse of their models. By offering safe harbor provisions for companies—including open source developers—that meet voluntary safety, transparency, and risk-management standards, a “SAFETY Act for AI” could encourage responsible AI innovation without subjecting developers to unpredictable and outsized legal exposure, and would preempt state AI liability laws.

Second, consider an “AI Information Sharing and Analysis Center” (ISAC) to help the private sector resist attacks and other threats. The sixteen critical infrastructure sectors—including energy, financial services, transportation, IT and more—use ISACs to exchange real-time security intelligence between industry stakeholders and the government.¹³ As AI becomes foundational to national security, financial systems, and other essential industries, and as AI companies in the U.S. come under greater threat from foreign adversaries, an AI ISAC would provide a centralized hub for AI developers to share cybersecurity threats, adversarial attack intelligence, and best practices for securing critical AI models—and to gain intelligence from the federal government on inbound threats to guard against. This proactive approach would enhance AI system resilience, mitigate emerging threats like model poisoning or adversarial exploits, and ensure that AI-driven infrastructure remains secure and competitive on a global scale.

Encourage Production of Abundant, Clean Energy

The rapid growth of AI has amplified our demand for abundant, reliable, clean energy. The AI Action Plan should incorporate and build on the policy laid out in Executive Order 14154, “Unleashing American Energy,” which ordered agency heads to identify any regulatory or other impediment that unduly restricts the development of domestic energy resources, including nuclear. This is a call for policymakers to streamline the licensing and review processes for existing and advanced nuclear technologies, ensuring that the path from application to deployment is as short as possible. These steps will help secure the reliable power AI demands, and position the U.S. as a global leader in clean energy innovation.

¹³ According to [Presidential Policy Directive 21](#), critical infrastructure sectors are those “whose assets, systems, and networks, whether physical or virtual, are considered so vital to the United States that their incapacitation or destruction would have a debilitating effect on security, national economic security, national public health or safety, or any combination thereof.”

Conclusion

We urge the Administration to put the people and companies that power innovation-driven technological development in American society—small tech startups and their founders—at the very center of the AI Action Plan. By implementing the recommendations we make above, the U.S. can meet our national goals of strengthening American leadership in AI, enhancing national security, and securing the many benefits of this technology for this generation and those generations yet to come.

We are glad to discuss this with you at your convenience.

Very truly yours,

/s/Gus Coldebella

Gus Coldebella